LEVERAGE THINKING

GOAL FIRST

A SMARTER WAY TO SELECT STOCKS

A framework for investors who need their portfolio to actually work.

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Leverage Thinking · Laura Kruse-Stecher

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Introduction

Most investing advice assumes you have time. Time to research. Time to wait out a bad year. Time to “stay the course” while your portfolio does something uncomfortable. The entire framework of long-term investing is quietly built on the assumption that nothing urgent is happening in your life right now.

That assumption didn’t hold for me.

In 2020, I was financially responsible for an inherited medical practice – in the middle of a pandemic. Salaries and fixed costs kept running; revenue didn’t. From that point on, the portfolio wasn’t a wealth-building exercise anymore. It needed to outperform – and to throw off gains I could withdraw without touching the principal.

> That combination – regular withdrawals with the principal intact – turns out to be a surprisingly good filter for bad ideas.

What I discovered, under conditions I wouldn’t recommend, was that most stock selection frameworks are not built for real constraints. They’re built for optimization. For people who want the best possible outcome across seven criteria simultaneously.

The problem with optimizing for everything is that you end up with nothing in particular.

This guide is about a different approach. The framework draws on decision theory and behavioral economics – but you don’t need either to use it. What matters is the logic, not the vocabulary.

Goal first. Constraints second.

It sounds obvious. Almost no one does it.

Part 1

Why Screening Fails

Open any stock screener. Set a few filters: dividend yield above 4%, P/E below 20, positive earnings growth, low debt, maybe some momentum indicator for good measure. Hit run. See what comes up.

It feels rigorous. It looks like a process. It isn't.

What you've built is a beauty contest with no winner category. You're asking the screener to find a stock that is simultaneously cheap, profitable, growing, financially stable, and trending upward. Those criteria don't point in the same direction. A stock with a high dividend yield is often cheap for a reason. You're not filtering – you're negotiating with yourself.

This is the core problem with multi-criteria optimization without hierarchy: mathematically, it produces the least-bad option, not the best one. Every additional criterion you add without ranking it narrows the field further while telling you nothing about what you actually want.

> It's the same logic as searching for an apartment that is large, cheap, central, and quiet. At some point you stop looking for the right apartment and start looking for the least disappointing one.

The result is portfolios that look diversified but are actually just undecided.

The psychological trap

There's a reason this approach is so common: it feels safe. More criteria means more research means more control – or at least the sensation of it. Behavioral economists call this the illusion of validity. The process looks thorough, so the output must be sound. It rarely is.

The other problem is that screeners reward what is easy to measure. Yield, P/E, debt ratios – these are available, standardized, comparable. What they don't capture is trajectory. A yield of 7% looks identical in a screener whether the stock is stable or in freefall. The number is the same. The situation is completely different.

Which brings us to two stocks that appeared in almost every screener for years.

What a dividend trap looks like: AT&T

AT&T carried a dividend yield of 5–8% between 2017 and 2021. It appeared in dividend-focused portfolios everywhere. The yield was real, the history was long, and the company was, after all, a household name.

Here is what happened over the same period:

Year	Dividend Yield	Share Price (approx.)	Annual Return incl. Dividend
2017	5.1%	$39	−2%
2018	7.0%	$29	−21%

Year	Dividend Yield	Share Price (approx.)	Annual Return incl. Dividend
2019	5.2%	$39	+48%
2020	7.2%	$29	−20%
2021	8.5%	$25	−6%

AT&T total return 2017–2021; dividend yield = annual dividend ÷ year-end price. Dividend cut by ~47% in 2022 ($0.52 → $0.2775 per quarter). Author's calculation from publicly available price data (year-end prices, total return with dividends reinvested), rounded; as of 18 Oct 2026.

An investor who held AT&T from 2017 to 2022 collecting dividends collected roughly $11 per share in distributions. They also watched the share price fall from $39 to roughly $21 (adjusted for the 2022 WarnerMedia spin-off). The yield looked like income. It was, in large part, a return of capital dressed up as a reward.

> *"A high yield on a falling stock is not income. It's a liquidation in slow motion."*

What a rollercoaster looks like: Snap

Snap is a different kind of failure – and in some ways a more instructive one, because it didn't just fall. It flew first.

Snap went public in 2017 at $17. By the end of 2018 it had lost two-thirds of its IPO price. Then it recovered. Then it rose dramatically during the pandemic – peaking above $80 in September 2021. Then it collapsed, falling below $10 by the end of 2022. Long-term holders would find this difficult to explain to anyone.

This is not a stock that failed quietly. It produced enormous returns for investors who timed it correctly – and enormous losses for those who didn't, which is most people.

The pattern has a name: narrative-driven volatility. The company's story changed repeatedly, and the price followed the story rather than the fundamentals. Each recovery felt like vindication. Each crash felt like an anomaly.

Year	Approx. Price Range	Annual Return	Note
2017	$17 (IPO) → $15	−14%	IPO year
2018	$15 → $6	−62%	First collapse
2019	$6 → $16	+196%	Recovery
2020	$16 → $50	+207%	Pandemic surge
2021	$50 → $47 (peak $83)	−6%	September peak, then decline
2022	$47 → $9	−81%	Full unwind

Snap (SNAP) year-end prices; 2017 from IPO price. Chart pattern: up, crash, up, crash. Author's calculation from publicly available price data (year-end prices, total return with dividends reinvested), rounded; as of 18 Oct 2026.

> The problem with rollercoaster stocks isn't that they go down. It's that they make the ride up feel like skill.

A selection method that only looks at peak performance – or at a short window that happens to capture a good phase – would include Snap without hesitation. A method that looks at 20 years of benchmark comparison, counting how many years the stock actually beat the index, tells a completely different story. Which is exactly where we're going next.

Part 2

The Method: Goal First, Constraints Second

The framework has three steps. They sound simple because they are. The difficulty is not understanding them – it's resisting the urge to skip the first one.

Step	Action	What it does
1	Define your single primary goal	Sets the sorting criterion – everything else is secondary
2	Set constraints as knock-out criteria	Eliminates candidates that would undermine your goal
3	Rank what remains	Surfaces the best options within a clean candidate set

> In decision theory this is called lexicographic preference – you optimize for one thing, and only among candidates that satisfy it do you apply further criteria. It has a long academic history. It also just works.

Strategy 1 — Outperformance

THE GOAL

Stocks that consistently beat the benchmark.

Note the word consistently. This is where most outperformance-based selection goes wrong. The typical approach: rank by total return over 3–5 years. A single extraordinary year can dominate the entire period. A stock that returned +180% in 2020 and was flat every other year looks like an outperformer. It isn't. It got lucky once, or caught a narrative, or both.

STEP 1 — PRIMARY GOAL: CONSISTENCY OF OUTPERFORMANCE

Look at 20 years of annual returns – or as far back as data exists. For each year, ask one question: did this stock beat the benchmark that year, yes or no? Count the years it did. That ratio – say, 14 out of 20 – is your primary sorting criterion. Not total return. Not average return. How often did it win.

> Twenty years matters because it includes multiple crash periods: dot-com, 2008, COVID. A stock that beats the benchmark in 14 of those 20 years has done it through recessions, rate cycles, and panic. That is a different claim than beating the index between 2019 and 2023. If a stock doesn't have 20 years of history, that's not a reason to skip it – but it's a reason to be honest about what you don't know. You're missing at least one serious crash. Those are exactly the years that matter.

STEP 2 — KNOCK-OUT FILTER: LOSS YEARS

How many years did the stock post a negative absolute return? Set a maximum you're comfortable with – for example, no more than 4 loss years in 20. A stock can underperform the benchmark in a given year and still be positive. A stock that loses money in 8 of 20 years is a different risk proposition entirely, regardless of its average return.

STEP 3 — RANKING: AVERAGE ANNUAL RETURN

Among candidates that pass steps 1 and 2, rank by average annual return. Only now does magnitude enter the picture.

Stock B vs. Stock C — what the method catches

	Benchmark beat (of 20 years)	Loss years	Avg. annual return	$100k after 20 years
Stock B	14 / 20	3	+14.2%	~$1,370,000
Stock C	7 / 20	9	+11.8%	~$850,000

Stock C has a lower average return and worse consistency – because the loss years destroy the compounding effect. The final column makes this concrete: same starting point, nearly $520,000 difference after 20 years. Stock C didn't lose dramatically. It just interrupted compounding often enough to matter.

Strategy 2 — Dividends

THE GOAL

A yield that is real, stable, and not being funded by a deteriorating business.

This sounds like common sense. The AT&T example from Part 1 demonstrates that common sense is not the same as common practice.

STEP 1 — PRIMARY GOAL: YIELD THRESHOLD

Filter for stocks with a dividend yield above your minimum – say, 3.5% or 4%. This gives you your universe. Do not rank by yield yet. A higher yield at this stage is not better, it's just a number that needs to be interrogated.

STEP 2 — KNOCK-OUT FILTER 1: LOSS YEARS

How many years in the last 20 did the stock post a negative return? A dividend that arrives every quarter while the share price falls 15% annually is not a dividend strategy. It's a slow exit.

STEP 3 — KNOCK-OUT FILTER 2: PAYOUT RATIO AND TREND

Is the dividend being paid from earnings, or from something else? A payout ratio consistently above 90–100% is a warning sign. Combined with a flat or declining share price, it often means the company is returning capital it doesn't have to spare.

STEP 4 — RANKING: AVERAGE ANNUAL TOTAL RETURN

Among candidates that pass, rank by total return – price appreciation plus dividends. This is the number that actually ended up in your account.

AT&T revisited — would the method have caught it?

Yes, at Step 2. Between 2017 and 2022, AT&T posted negative total returns in four of six years – a loss year ratio of 0.67, far above any reasonable threshold. The yield looked

attractive. The loss-year filter would have flagged it before the dividend cut made it obvious to everyone else.

	Avg. Yield	Loss years (2017–2022)	Avg. annual total return	$100k after 6 years
AT&T	6.5%	4 / 6	+1.0%	~$92,000
Stock D (illustrative)	4.1%	1 / 6	+9.3%	~$170,000

AT&T 2017–2022. Author's calculation from publicly available price data (year-end prices, total return with dividends reinvested), rounded; as of 18 Oct 2026. Stock D is an illustrative example, not a real stock.

Stock D has a lower yield. It also actually made money.

> *"The goal isn't to find the highest yield. It's to find a yield you can keep."*

Part 3

Apply It to Your Own Goals

The two strategies in Part 2 are examples, not prescriptions. The structure behind them is what matters – and that structure applies to any investment goal you might have.

Step	Action
1	Define one primary goal
2	Set knock-out filters that protect it
3	Rank what remains by the metric that reflects your objective

The inputs change. The logic doesn't. Here are two further applications.

Low Volatility

An investor who sleeps well and stays invested through downturns will outperform an investor with a theoretically superior portfolio they panic-sell in March 2020. Behavioral consistency is a return driver. It just doesn't show up in backtests.

PRIMARY GOAL

Maximum annual volatility – stocks with annualized standard deviation below 15%.

KNOCK-OUT FILTERS

Maximum drawdown in any single year. Number of years with a drawdown exceeding 20%.

RANKING

Average annual return among candidates that pass.

	Max drawdown (single year)	Volatility (annualized)	Avg. annual return	$100k after 20 years
Stock E	−12%	11%	+8.1%	~$475,000
Stock F	−38%	24%	+9.4%	~$410,000

Stock F has a higher average return. It also dropped 38% in a single year – which means at some point you were sitting on a loss large enough to test anyone's conviction. Stock E's lower return compounds uninterrupted. Over 20 years, uninterrupted compounding wins.

> *"The best portfolio is not the one with the highest expected return. It's the one you actually hold."*

Strategy 3 — Value

Value investing has a long theoretical pedigree. The method doesn't change that. It does make the selection more honest.

PRIMARY GOAL

Valuation below a defined threshold – P/E below 15, or P/B below 1.5. Define “cheap” before you look at candidates, not after.

KNOCK-OUT FILTERS

Earnings consistency – how many of the last 20 years were profitable? Debt load. Dividend cuts or suspensions as a signal of financial stress.

RANKING

Historical return on equity, or free cash flow yield – something that reflects what the business actually generates, not just what the market currently prices it at.

	P/E	Profitable years (20yr)	Free cash flow yield	$100k after 20 years
Stock G	11x	18 / 20	7.2%	~$720,000
Stock H	9x	11 / 20	3.1%	~$380,000

Stock H is cheaper by the headline number. It was also unprofitable in nearly half the years under review. Cheap and cheap for a reason are not the same thing.

> *“A cheap stock that stays cheap is not a value investment. It’s a waiting room.”*

Portfolio Composition — The Step Most Investors Skip

Individual stock selection is the visible part of investing. The decision that shapes everything else happens one level up – and most investors never make it explicitly.

Most investors think in stocks. The question is actually: what should my portfolio do, and in what proportion? Most investors build portfolios the way people pack for a trip without knowing the destination. They accumulate positions that individually made sense at the time, and end up with something that has no coherent purpose. Diversification by accident is not a strategy. It’s just variety.

Before selecting a single stock, define your allocation by objective:

Bucket	Allocation (example)	Goal	Method
Outperformance	50%	Beat the benchmark consistently	Strategy 1
Dividend	30%	Stable income, capital intact	Strategy 2
Value	20%	Undervalued quality, long horizon	Strategy 3

These are illustrative numbers. Your allocation depends on your actual situation – your income needs, your time horizon, your tolerance for volatility. The point is that the allocation comes first, as a deliberate decision, not as the residue of individual stock picks.

Once the buckets are defined, each is filled independently using its own method. Outperformance stocks are not filtered by yield. Dividend stocks are not selected for growth

potential. Value stocks are not ranked by trend. Each bucket has one goal and one set of knock-out filters appropriate to that goal.

> *“This is how the portfolio becomes diversified by design rather than by accident. Different objectives attract different stocks. You don’t need to engineer diversification – it follows from the structure.”*

The result is a portfolio where you can answer, for every position: why is this here, and what is it supposed to do? That sounds like a low bar. For most portfolios, it isn’t.

Conclusion

The Question Behind the Question

Most stock selection advice is answer-shaped. Buy quality. Diversify. Look for moats. Avoid high debt. The advice is not wrong. It's just not specific enough to be useful, because it skips the question that should come first.

What does your portfolio need to do?

Not in the abstract. Not "grow over time" or "beat inflation." Specifically – does it need to generate cash in the next three years? Does it need to survive a 40% drawdown without you selling? Does it need to outperform an index you're benchmarked against, or does it need to let you sleep?

The answer to that question determines everything that follows. The metrics that matter. The filters that protect you. The candidates that make the list.

This guide has laid out one framework for getting there. It has a property that most screening approaches lack: it forces the decision about what you want before it lets you look at what's available. That sequence matters more than any individual criterion.

> Most investors find a stock they like and then convince themselves it fits their goals. The method here runs in the opposite direction.

The negative examples in this guide – AT&T, Snap, the stocks that looked right until they didn't – are not cautionary tales about bad companies. They are illustrations of what happens when selection criteria are borrowed rather than derived. When yield is mistaken for quality. When past performance in a favorable window is mistaken for consistency. When a screener's output is mistaken for a decision.

The framework doesn't eliminate risk. Nothing does. What it eliminates is the specific, avoidable risk of not knowing what you were selecting for in the first place.

Goal first. Constraints second. Portfolio by design, not by accident.

The rest is execution.

> The method in this guide works without any tools. If at some point you want to run it across hundreds of tickers automatically – Part 2 of this series covers the Python implementation of the same framework. It includes a data quality layer that catches bad data before it reaches the screener, a configurable core screening function, three diagnostic metrics, and strategy variants for dividend income and low volatility. The logic is identical. The difference is scale.

→ **Goal First in Python – available on Gumroad.**

Glossary

Terms as used in this guide and in Goal First in Python; code names in parentheses.

Benchmark

The yardstick a stock is compared against – here the S&P 500. “Beating the benchmark” means a higher return than the index in a given calendar year.

Benchmark bias score (bias_score)

The fraction of years in which a stock beat the benchmark. 14 of 20 = 0.70.

Calendar-year return

Return from 1 January to 31 December. The method counts in calendar years, not rolling 12-month windows.

Constraint / knock-out criterion

A condition that disqualifies a candidate – pass or fail, no partial credit. Each one protects the primary goal against a specific failure mode.

Dividend trap

A high dividend yield that is high only because the share price is falling. The income is, in substance, a return of capital.

Dividend yield

Annual dividend divided by share price. When the price falls, the yield rises – without anything about the business improving.

Drawdown

Decline from a peak to the following trough, in percent. Maximum drawdown is the largest such decline in the period observed.

Free cash flow yield

Free cash flow relative to market value. Shows what the business actually generates, independent of reported earnings.

Index

A calculated basket of many stocks representing a market – the S&P 500 covers the 500 largest US companies. Serves as the benchmark.

Lexicographic preference

Decision rule: sort by the most important criterion first; apply further criteria only to distinguish candidates that satisfy the first.

Loss year (loss year ratio)

A calendar year with a negative absolute return. The loss year ratio is the share of loss years in all years observed (code: loss_year_ratio).

P/E, P/B

Price-to-earnings and price-to-book ratios. Common valuation metrics; they say nothing about direction or quality.

Payout ratio

The share of earnings paid out as dividends. Consistently above 90–100%: the dividend is no longer funded by the ongoing business.

Rollercoaster stock

A stock with extreme up and down phases whose price follows the story rather than the fundamentals. Looks like a winner in short windows.

Ticker

A stock's exchange symbol (T for AT&T, SNAP for Snap). ^GSPC is the symbol of the S&P 500.

Total return

Price change plus dividends. The number that actually ends up in your account.

Universe

The set of stocks you select from – for example, the constituents of the S&P 500.

Volatility

The dispersion of returns, measured as annualized standard deviation. Low volatility means a calm price path, not automatically low risk.

About the Author

Leverage Thinking is the pen name of Laura Kruse-Stecher. Equity investor for 20+ years. Proprietary stock selection algorithms in live trading. Data integrity and backtesting infrastructure: Python, PostgreSQL/TimescaleDB. Economist; managing director and sole shareholder of Elcando GmbH. The practice mentioned in the introduction to the first guide was brought through the crisis and later sold.

Questions, comments, custom builds: via Gumroad.

Code & Updates

The code behind this framework – data quality layer, screener, and metrics from Goal First in Python – lives in a public repository:

https://github.com/Elcando-GmbH/goal-first

Corrections and updates to both guides are published there as well. Error reports are welcome – via Gumroad or directly in the repository. The code is released under the MIT License.

Imprint

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